Scratch cards: kill, narrow or keep?

Internal memo | From: Pranav Thatavarti, PM, Rewards | To: Payments leadership | 20 October 2026 | Decision needed before FY28 planning

Portfolio exercise. I don't work at Google Pay, PhonePe, Paytm or CRED. "Our app" is a composite UPI app. Public facts carry a source number; anything internal is my estimate, marked (est.).

> **My call: kill the random scratch card and replace it.** Fewer, bigger rewards, picked from places you already pay, and you choose 1 of 3. We prove it with an 8-week holdout first, and only then switch scratch cards off for everyone.

Context

UPI did 24.07 billion transactions in September, up 23% in a year [1]. UPI has had zero MDR since January 2020 [2], so an app earned nothing on a payment. We paid people to build the habit instead. Google Pay alone spent ₹1,028 crore on cashback in FY19 [3]. The habit is built. The spending hasn't stopped. Paytm's promotional cashback and incentives were ₹261 cr in FY26, up from ₹151 cr [4], and ₹90 cr in April to June 2026, up 143% [5]. PhonePe's ad and promotion spend nearly doubled to ₹956 cr in FY26 [6]. CRED's Coin Rush last month put up a ₹516 cr reward pool [7].

What changed: from 15 October a 0.4% MDR applies to merchant payments above ₹2,000, capped at ₹300 [8]. Smaller payments stay free and are over 95% of merchant volume [8], but payments above ₹2,000 are 67% of UPI value [2]. The fee split isn't final [8]. Either way, a merchant relationship is now worth more to us than a random scratch.

What users get today. On Google Pay a payment drops a scratch card into Rewards, and you scratch "to find out if you've earned a reward" [9]. Paytm's help page lists "Better Luck Next Time" as a reward type, and cards expire [10]; Paytm says much of its engagement now runs on Gold Points [11]. CRED gives a coin per rupee of card bill [12], spent on jackpots, raffles and timed drops [7]. One GPay review: "Useless rewards… Not even one out of 200 has been used!" [13]

What we bet on vs what the data shows

What we bet on	What the data shows
A surprise reward on every payment builds the habit.	The habit doesn't need buying at 24 billion a month [1]. But paid usage is rented: when POP pulled cashback, its UPI volume fell 85%, from 63.7M to 9.5M a month [14].
Users love scratch cards.	Users love **rewards**, not lotteries. 89% say rewards matter when picking a UPI app [15]. But in the newest 8,000 Play Store reviews per app, reviews that mention rewards were 1–2 stars 66% of the time on GPay (19% for all reviews) and 72% on CRED (34%) [13]. 66% of LocalCircles respondents say a promised cashback never came [16].
Brand vouchers are free inventory that merchants pay for.	A voucher helps a merchant only if it's redeemed. Users call them "sponsored ad vouchers" [13], and "Ajio or Myntra will be giving the same discount even without any scratch cards" [17]. No app publishes redemption; I'd guess under 10% (est.).

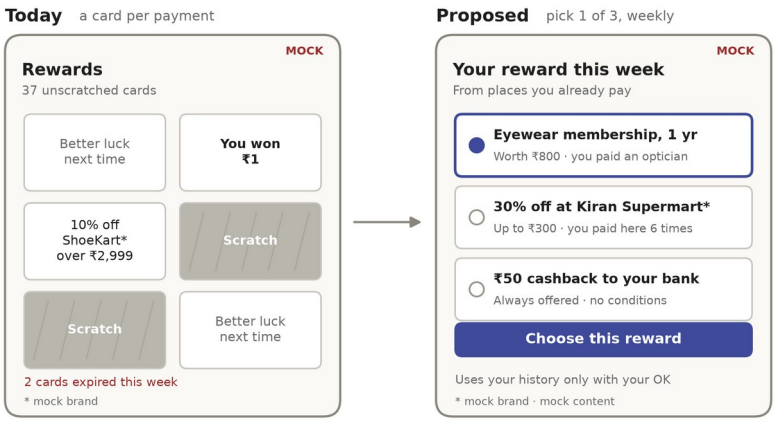
Options considered

Option	What it means	Cost and risk
Kill outright	Stop all scratch cards and coins. Honour cards already issued.	Saves the whole budget. Risk of a POP-style drop [14]; 83% say they'd switch apps for better rewards [15]. Partners lose placements.
Narrow	Scratch cards only for a new user's first 5 payments and festive campaigns.	Cuts spend maybe 60% (est.). Keeps what users hate: blanks and ₹1 wins.
Keep	Change nothing.	Spend keeps rising (Paytm +73% in FY26 [4]). Coin-entry jackpots sit near the gaming law's "other stakes" wording, which names coins and tokens [18]. Legal should look.
Kill and replace (my pick)	No scratch. A weekly "pick 1 of 3" from places you already pay, part-funded by merchants.	Two quarters of ranking and partner work, plus a DPDP consent flow [19]. Risk it feels creepy; merchants must accept pay-per-redemption.

Recommendation

Kill and replace. I've stopped believing the surprise is the product. People want rewards they'll use, so the budget should buy fewer, bigger ones, judged by redemption, not scratch opens.

- **Once a week, not every payment.** Three options, you pick one. One is always plain cash, so nobody is pushed into a voucher.
- **From places you already pay.** 30% off at a store you've paid six times. A year of an eyewear membership like Lenskart Gold Max (₹800 a year list price [20]) if you paid an optician. No blanks, ever, and at least 30 days to use it.
- **Where the AI sits.** A ranking model scores partner offers by likely redemption × value, using merchant categories and visit counts from your own UPI history. A plain ranker, not a chatbot. Copy is templated from the same fields.
- **Consent first.** A separate, plain consent notice with one stated purpose, as the DPDP Rules require [19]. Say no and you get three generic options. Withdraw and we delete the features.
- **What the model must not do.** Use person-to-person payments, or infer and target health, religion, loans or betting.
- **Also off limits.** A loan shown as a "reward". User-level history shared with merchants (they see aggregates). Countdowns or fake scarcity, which CCPA treats as dark patterns [21].



Before and after. Flat wireframe, mock content and mock brands.

How I'd measure it

Metric	Today	Target at week 8
Redemption of rewards issued	Not published; under 10% (est.)	40%+ (est.)
Reward cost per user retained at 90 days	Set by the holdout	25% lower (est.)
Reward reviews at 1–2 stars	66% on GPay [13]	Under 40% (est.)
Merchant ROI per ₹1 of merchant-funded reward	Not measured	₹3+ in sales (est.)
Guardrail: payments per active user a month	Set by the holdout	Within 3% of holdout (est.)

What would change my mind

I fall back to narrow if, at week 8, frequency is over 3% below holdout and not recovering, redemption is under 25%, cost per retained user isn't lower, or under 30% of users opt in to personalisation (all est.). I'd keep scratch cards if the no-rewards cell buys extra payments more cheaply than the replacement.

Rollout and comms

Who	What we say	When and how
Unscratched cards	Cards you hold work until they expire. No new cards after the switch.	Week 0. Banner, push, FAQ.
Users in the new flow	One pick a week from places you pay. You choose if we use your history.	Week 0. Consent screen.
Brand partners	Pay per redemption, not per placement. Same budget for two quarters.	Week −4. Account calls.

How I'd test this before killing it

- Three cells, ~2% of monthly users (est.), 8 weeks: **A** scratch cards as today, **B** no rewards, **C** pick 1 of 3 at the same budget.
- B vs A shows what scratch cards really buy; if B is close to A, they're pure cost and I'd kill them anyway. C vs A is the real decision.
- Thresholds fixed before launch, no peeking. Split by new vs old users and tier-2/3 cities. Avoid festive weeks.

Ship rule. If C beats A on cost per retained user and frequency stays within 3% (est.), scratch cards go off for everyone in Q1 FY28.

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